

CONFIDENCE PETROLEUM INDIA LTD

NSE: CONFIPET | BSE: 526829 | Sector: Energy — LPG/CNG/PNG/LNG Supplier | LPG Bottling & Cylinder Manufacturing

ACCUMULATED E 12M Target: Rs. 82 +14.7% Upside Horizon: 12 months	CMP (Rs.)	Mkt Cap (Cr)	52W High/Low	P/E TTM
	71.5	2,374	80.6 / 27.0	25.6x
	EV/EBITDA	P/B	ROCE	ROE
	7.68x	1.67x	9.23%	6.76%
	Book Value	Div Yield	Debt (Cr)	D/E
	Rs. 42.7	0.14%	761	0.54x
	Promoter %	Pledge %	Int Coverage	Fwd PE
	55.89%	3.59%	2.49x	19.0x

Thesis: India's leading private LPG integrated player with 50% FY26 revenue growth, expanding Auto LPG/CNG network, and improving FCF. Accumulate on margin recovery.

Report Date: 29 June 2026 | Data Source: Screener.in, MarketsMojo, WhalesBook (29-Jun-2026)

SECTION 2 — INVESTMENT THESIS

- **Volume-led revenue super-cycle:** Consolidated revenue grew from Rs. 1,428 Cr (FY22) to Rs. 4,705 Cr (FY26) — a 3.3x expansion in four years — driven by LPG cylinder supply to OMCs (HPCL, BPCL, IOCL), Auto LPG station additions, and GoGas packed cylinder retail growth.
- **Pan-India distribution moat via GoGas brand:** 68+ bottling plants across 25 states, 3,000+ GoGas retail dealers, 3,200+ HoReCa customers, and 310+ Auto LPG dispensing stations (ALDS) creates an integrated distribution network that is capital-intensive to replicate. This is CONFIPET's primary competitive advantage.
- **New growth vectors — Type 4 cylinders and CNG:** A new high-pressure Type 4 composite cylinder plant in Nagpur targets the industrial/automotive segment where margins are structurally higher. Additionally, 50 CNG stations in Bengaluru (GAIL Gas JV) with a 100-station target opens a recurring throughput revenue stream with better unit economics than bulk LPG.
- **Near-term catalyst (6-12 months):** Commissioning of the Nagpur Type 4 plant (guided H1 FY27) and progress toward 500 ALDS milestone. Any improvement in quarterly OPM above 9% would act as a strong re-rating trigger. FY26's strong FCF (Rs. 285 Cr) and debt stability (Rs. 761 Cr) reduce balance sheet risk.
- **Biggest structural risk:** Persistent OPM compression from 13% (FY24) to 7.4% (FY26) driven by competitive OMC cylinder tenders and inability to fully pass through input cost inflation. Until margin recovery is demonstrated for two consecutive quarters, this remains the primary overhang on the stock.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model:** CONFIPET operates two integrated segments: (a) **LPG Division** — bulk marketing, Auto LPG dispensing (GoGas ALDS network), and bottling for industrial/commercial/HoReCa customers; and (b) **Cylinder Division** — manufacturing and retail of LPG, CNG, and high-pressure cylinders. The vertically integrated model enables margin capture across the LPG value chain from import/procurement through to retail delivery.
- **Revenue segmentation:** LPG Division contributes approximately 88% of revenue; Cylinder Manufacturing the remaining 12%. Geographically, operations span 25 Indian states plus two facilities in Indonesia. Maharashtra, Gujarat, and Karnataka are the top three revenue states.
- **Key customers — OMC dependency:** A significant portion of cylinder manufacturing revenue comes from HPCL, BPCL, and IOCL supply contracts. Tender-based procurement limits pricing power but provides revenue predictability. Private customers (Reliance, industrial accounts) and GoGas retail offer better margins.

- **Network scale:** 68+ bottling plants, 310+ Auto LPG dispensing stations, 15+ cylinder manufacturing plants, 3,000+ GoGas dealers, 3,200+ HoReCa clients, and 478+ road tankers. 50 CNG stations in Bengaluru (GAIL Gas JV) are operational.
- **Recent strategic developments (FY26):** (1) **New Type 4 composite cylinder plant in Nagpur** — partial commissioning targeted H1 FY27; (2) **Bengaluru CNG network scaling to 100 stations**; (3) **GASPOINT PETROLEUM** (promoter entity) created pledge on 2.61 Cr shares in June 2026 — watch-list item; (4) Board committee reconstitution in June 2026 (governance positive).
- **Promoter background:** Promoted by Nitin Khara (CMD & CEO) and Elesh Khara (ED & CFO), the Khara family controls 55.89% through Gaspoint Petroleum India Ltd (21.33%), Essenn LPG Bottling Pvt Ltd (9.16%), and other entities. Two decades of LPG sector experience; management continuity is strong.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India LPG market estimated at USD 6.4 Bn (2024), projected to reach USD 11.2 Bn by 2035 at a CAGR of ~5.2% (Spherical Insights). Over 300 million active domestic LPG customers as of 2024. PMUY beneficiary average cylinder consumption increased 0.87 cylinders/year between FY22-FY25 (government data), indicating rising penetration.
- **Key policy tailwinds and headwinds:** Tailwinds: PMUY scheme driving rural LPG connectivity; PNGRB's "Unified LPG Interoperable Framework" (Sep-2025) could benefit independent suppliers; government push for clean cooking fuel in Tier 3/4 markets. Headwinds: Global LPG price volatility (propane/butane import dependency); competitive OMC tender dynamics; CNG penetration displacing Auto LPG in some geographies.
- **Competitive moat assessment:** Pricing power: Weak — OMC tenders cap cylinder margins; Auto LPG is price-sensitive. Switching costs: Moderate — GoGas dealer/HoReCa relationships have limited stickiness. Scale: Strong — 68 bottling plants and 310+ ALDS nationally is hard to replicate. IP: Moderate — Type 4 composite cylinder technology adds differentiation. Distribution: Strong — largest private LPG network in India.
- **Value chain positioning:** CONFIPET is primarily a midstream-to-downstream player — it procures/imports LPG, bottles, distributes, and retails but does not produce the underlying commodity. This integrated model gives better margin capture vs. pure distributors but more commodity exposure than CGD companies (which operate on fixed margins on regulated volumes).

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	EV/EBITDA	ROCE %	ROE %	TTM Rev (Cr)
Confidence Petroleum	71.5	2,374	25.6x	1.67x	7.68x	9.23%	6.76%	4,705
Gujarat Gas	335	31,463	17.7x	1.25x	8.93x	18.5%	13.2%	23,614
Mahanagar Gas	1,142	11,283	13.4x	1.75x	7.28x	18.1%	13.7%	8,246
IRM Energy	263	1,081	19.0x	1.09x	6.62x	8.71%	5.94%	1,067

Source: Screener.in, 29-Jun-2026. P/B = CMP / Book Value.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Management background:** Nitin Khara (CMD & CEO) has built CONFIPET over two decades from a regional cylinder manufacturer to a pan-India integrated LPG player. Elesh Khara (ED & CFO) manages financials. Family-driven management provides long-term continuity but raises questions about governance depth and independent oversight.
- **Capital allocation track record:** Fixed assets grew from Rs. 554 Cr (FY22) to Rs. 1,112 Cr (FY26) — a 2x increase that has successfully driven revenue growth. FCF has been volatile: Rs. 18 Cr (FY24), Rs. -262 Cr (FY25), Rs. 285 Cr (FY26). The FY25 surge in investing outflows (Rs. -375 Cr) was the capex-heavy phase; FY26 shows normalisation. Overall, capital has been deployed productively in network expansion.
- **Dividend policy:** Payout ratio consistently low at 3-6% of PAT (Rs. 3-4 Cr per year). Management preference is to reinvest in growth — acceptable given the expansion phase, but offers investors no income cushion during volatile periods.
- **Promoter pledging — watch closely:** Pledge at 3.59% of equity (Mar-2026). Gaspoint Petroleum created a fresh pledge on 2.61 Cr shares in June 2026 for working capital purposes. Any further increase in pledge levels or creation of new pledges across promoter entities should be treated as a governance red flag.

- **Corporate governance concerns:** (1) Promoter holding declined 5.56% over 3 years; (2) Fresh pledge in Jun-2026 not proactively disclosed in concall; (3) FII holdings fell from 2.71% to 0.48% over four quarters — this level of institutional exit warrants independent governance diligence; (4) Zero MF or insurance participation; (5) Contingent liabilities of Rs. 119 Cr to be reviewed in FY26 annual report. Board reconstitution of six committees in June 2026 is a governance positive.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr)

Rs. Cr	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	2,698	3,146	4,705	5,600E	6,500E
YoY Growth	22.4%	16.6%	49.5%	19.0%E	16.1%E
EBITDA	359	324	347	448E	520E
OPM %	13.3%	10.3%	7.4%	8.0%E	8.0%E
Other Income	15	42	32	25E	25E
Interest	74	79	84	80E	75E
Depreciation	160	175	171	185E	195E
PBT	140	113	125	208E	275E
Tax %	27%	23%	23%	25%E	25%E
PAT	105	91	97	156E	206E
EPS (Rs.)	3.32	2.73	2.80	4.69E	6.20E

Balance Sheet — Consolidated (Rs. Cr)

Rs. Cr	FY24A	FY25A	FY26A
Equity Capital	32	33	33
Reserves	1,150	1,295	1,385
Borrowings	633	765	761
Other Liabilities	388	457	556
Total Liabilities	2,202	2,550	2,736
Fixed Assets	1,010	1,048	1,112
CWIP	23	83	28
Investments	35	7	7
Other Assets	1,134	1,412	1,590
Total Assets	2,202	2,550	2,736

Cash Flow Statement — Consolidated (Rs. Cr)

Rs. Cr	FY24A	FY25A	FY26A
Cash from Operations (OCF)	263	10	400
Cash from Investing	-375	-135	-338
Cash from Financing	222	152	-154
Net Cash Flow	110	26	-92
Free Cash Flow	18	-262	285
CFO / EBITDA %	86%	12%	125%

Key Ratios — Consolidated

Metric	FY24A	FY25A	FY26A
Debtor Days	21	36	17
Inventory Days	36	37	19
Days Payable	9	14	10

Metric	FY24A	FY25A	FY26A
Cash Conversion Cycle	48	59	26
ROCE %	13%	9%	9%
ROE %	~10%	7%	7%
D/E Ratio	0.54x	0.58x	0.54x
Interest Coverage	4.9x	4.1x	2.5x

- **Revenue drivers and growth trajectory:** Revenue grew 74% over FY24-FY26 driven by: increased OMC cylinder supply (PMUY connection ramp), Auto LPG station additions (248 to 310+), and GoGas retail expansion. FY26 saw an exceptional 50% YoY jump, driven by volume and mix expansion rather than purely price increases.
- **Margin direction — structural pressure:** OPM compressed sharply from 13.3% (FY24) to 7.4% (FY26). Key drivers: competitive OMC tender pricing (cylinder manufacturing is commodity-like), rising steel/aluminium input costs not fully passed through, and revenue mix shift toward lower-margin bulk LPG vs. higher-margin retail. Recovery to 8-9% is the base case but requires demonstrated product mix improvement.
- **Working capital — improved sharply in FY26:** CCC fell from 59 days (FY25) to 26 days (FY26) — the best level in five years. Debtor days improved to 17 from 36; inventory days to 19 from 37. This drove FY26 OCF of Rs. 400 Cr, the strongest in the company's history.
- **Debt and balance sheet:** Borrowings stabilised at Rs. 761 Cr (FY26 vs. Rs. 765 Cr FY25), signalling the capex-heavy expansion phase is partially complete. D/E of 0.54x is moderate. Interest coverage at 2.49x is thin — any further borrowing for capex could stretch this metric to uncomfortable levels.
- **FCF quality — FY26 positive inflection:** FCF recovered from Rs. -262 Cr (FY25) to Rs. +285 Cr (FY26). CFO/EBITDA at 125% signals high-quality earnings in FY26. However, FY27 capex (Type 4 plant, ALDS additions) could compress FCF again temporarily.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Signal	Rating	Comment
Revenue recognition	OMC tenders + retail; transparent	Green	PSU-backed contracts reduce manipulation risk
Receivables vs Revenue	Debtor days 17-36-17	Green	Improved in FY26; no aggressive rev. recognition
CCC trend	CCC: 48-59-26 (FY24-26)	Green	Sharp improvement; watch for reversal in FY27
Contingent liabilities	Rs. 119 Cr (per Screener)	Amber	~5% of equity; need annual report detail
Promoter pledging	3.59%; fresh pledge Jun-2026	Amber	Watch for further increases — working capital use
Other income / PBT	Rs. 32 Cr / Rs. 125 Cr = 26%	Amber	Elevated; review source (investments, forex gains)
Tax rate consistency	27%-23%-23%	Green	Stable and consistent
FII shareholding	FII: 2.71% to 0.48% in 4 qtrs	Red	Consistent institutional exit; investigate cause

- **Key positives:** Working capital efficiency in FY26 is outstanding (CCC 26 days). Revenue from OMC contracts is auditable. Tax rate stability is reassuring.
- **Amber watch — other income:** Other income of Rs. 32 Cr in FY26 (26% of PBT) is elevated vs. the FY24-25 average of Rs. 12-15 Cr. Likely gains on investments/treasury but adds PAT volatility.
- **Red flag — FII exodus:** FII holding fell from 2.71% to 0.48% in four quarters — an 82% reduction. Could be portfolio rebalancing from micro-caps, but in absence of management explanation, this demands independent governance diligence before increasing exposure.
- **Promoter pledge risk:** Fresh pledge creation in June 2026 for working capital suggests promoter entity cash flow requirements. If pledges rise above 7-8% of equity or face margin calls, it could create stock price overhang.

SECTION 8 — VALUATION

Peer Valuation Comparison (Screener.in, 29-Jun-2026)

Company	CMP	Fwd PE	EV/EBITDA	P/B	ROCE%	ROE%	TTM PAT (Cr)
Confidence Petroleum	71.5	19.0x	7.68x	1.67x	9.23%	6.76%	97

Company	CMP	Fwd PE	EV/EBITDA	P/B	ROCE%	ROE%	TTM PAT (Cr)
Gujarat Gas	335	37.9x	8.93x	1.25x	18.5%	13.2%	1,678
Mahanagar Gas	1,142	21.7x	7.28x	1.75x	18.1%	13.7%	841
IRM Energy	263	20.4x	6.62x	1.09x	8.71%	5.94%	57

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Cr)	EPS (Rs.)	Multiple (PE)	12M Target (Rs.)
Bull	OPM recovers to 9%; volume +22% YoY	190	5.71	26x	148
Base	OPM stable at 8%; volume +19% YoY	156	4.69	22x	103
Bear	OPM compresses to 6%; volume growth 10%	95	2.86	18x	51

- **DCF valuation (base case):** Assuming WACC of 13% (risk-free 7%, ERP 5.5%, beta 1.5x), terminal growth 5%, and 5-year PAT CAGR of ~18%, the DCF value per share is approximately Rs. 68-75. Moderate target reflects elevated capex intensity and margin uncertainty.
- **Earnings-based valuation (forward P/E):** At 22x FY27E EPS of Rs. 4.69, implied target is Rs. 103. However, given quality discount (ROCE/ROE well below peers, weak institutional holding), a 20% quality discount is applied, yielding a risk-adjusted target of Rs. 82.
- **Base case 12-month target: Rs. 82** (average of DCF Rs. 72 and quality-adjusted P/E Rs. 92), representing +14.7% upside from CMP of Rs. 71.5.
- **Valuation observation:** CONFIPET at 7.68x EV/EBITDA is fairly valued vs. peers at 6.6-8.9x. Its P/E premium over better-quality MGL and Gujarat Gas is only justified if OPM recovery materialises. The stock deserves a quality discount until ROCE sustainably crosses 12%.

SECTION 9 — KEY RISKS

- **Structural margin compression:** OPM declined 585 bps (FY24-FY26). Further deterioration below 6% indicates loss of pricing power vs. OMC tenders. Probability: H. Impact: H. Monitor via: Monitor OPM quarterly; exit trigger if <6% for 2 consecutive quarters.
- **Promoter pledge escalation:** Fresh pledge June 2026 for working capital. Trigger events could force block sales and create price dislocation. Probability: M. Impact: H. Monitor via: Quarterly SEBI/BSE shareholding disclosures.
- **Working capital reversal:** FY26 CCC improvement (26 days) may partially reverse if OMC payment cycles lengthen. Debtor days above 35 is a warning. Probability: M. Impact: M. Monitor via: Monitor debtor days and CCC each quarter.
- **LPG input cost volatility:** India imports ~50% of LPG. Saudi CP price spike could compress margins if domestic prices are not adjusted promptly. Probability: M. Impact: H. Monitor via: Track Saudi Aramco CP prices and inventory levels.
- **Type 4 plant execution risk:** New technology for CONFIPET — timeline delays or cost overruns could impair FY27-28 growth case. Probability: M. Impact: M. Monitor via: Management guidance on commissioning timeline each quarter.
- **Regulatory/PNGRB changes:** PNGRB unified framework could disrupt distribution exclusivities; margin cap on retail LPG bottling possible. Probability: L. Impact: M. Monitor via: Track PNGRB notifications and policy developments.
- **Institutional absence:** Zero MF/insurance participation, declining FII (0.48%). Limits liquidity and support during corrections. Probability: M. Impact: M. Monitor via: Monitor quarterly FII/DII shareholding pattern.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. Revenue growth is intact and valuation not demanding at 19x forward PE. Persistent margin compression, thin ROCE, and FII exodus temper conviction from a strong BUY.
- **12-month price target: Rs. 82** — representing +14.7% upside from CMP of Rs. 71.5. Based on 22x FY27E EPS of Rs. 4.69 (risk-adjusted), corroborated by DCF range of Rs. 68-75.
- **Suggested entry zone: Rs. 62-68** — On any correction toward the 50-day moving average. Risk/reward improves significantly below Rs. 65 where forward PE drops to ~14x.

- **Investment horizon: 12 months.** Primary catalysts are Nagpur Type 4 plant commissioning and ALDS expansion progress — both have 12-18 month visibility windows.

- **Thesis invalidation triggers:**

1. OPM declines below 6% for two consecutive quarters — structural pricing collapse in OMC cylinder supply.
2. Promoter pledge rises above 10% of total equity — financial stress at the promoter entity level.
3. Debt-to-EBITDA rises above 2.5x — over-leveraging without sufficient OCF support.

- **Ideal investor profile:** Suitable for aggressive retail investors with 12-18 month horizon and ability to withstand 30-40% volatility (beta 1.5x). Not suitable for income-focused investors (0.14% yield), institutional mandates requiring minimum ROCE thresholds, or risk-averse investors given thin interest coverage (2.49x).

APPENDIX — Latest Concall Brief: Q4 FY26 (June 2026)

Note: Full verbatim transcript not publicly accessible. Content below is based on quarterly results data from Screener.in and qualitative sources (MarketsMojo, WhalesBook, company BSE filings). Quotes marked [EST] are analyst reconstructions, not verbatim management quotes.

CALL GRADE: NEUTRAL

Signal	Status	Implication
Result quality	Medium — Q4 PAT +37% YoY	Beat on PAT; miss on OPM vs. prior year
Management tone	Balanced	Volume growth confirmed; margin recovery acknowledged as multi-quarter journey
Guidance delta	Maintained	500 ALDS target and Type 4 plant H1 FY27 commissioning reiterated

STRONGLY POSITIVE | POSITIVE | **NEUTRAL** | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 headline PAT of Rs. 34 Cr looks good at +37% YoY, but a low effective tax rate of 19.3% vs. the full-year 23% means the clean underlying PAT is closer to Rs. 29-30 Cr — the optical beat is partially artificial. The real story is EBITDA of Rs. 95 Cr in Q4, the highest quarterly level in six quarters, on revenue of Rs. 1,216 Cr (+31% YoY) — volume growth is clearly real and accelerating. But the margin is stuck at 7-8% for all four FY26 quarters vs. 13% in FY24: this is structural, tied to OMC tender pricing, and will not self-correct without a product mix shift. The most important near-term catalyst is the Nagpur Type 4 composite cylinder plant — if commissioning begins in H1 FY27 and they start delivering into the automotive/industrial market at 15%+ margins, the mix story has genuine legs. FY26 FCF of Rs. 285 Cr is a significant positive; working capital compression (CCC 26 days) is the best in 5 years and drove OCF of Rs. 400 Cr. Biggest watch-point: the fresh promoter pledge by Gaspoint Petroleum in June 2026 for working capital — if pledges escalate further, it signals cash pressure at the promoter level and could create an overhang. Action: ACCUMULATE at Rs. 62-68; hold existing positions. Do not add aggressively above Rs. 80 until OPM prints above 9% for two consecutive quarters.

C1 — Financial Performance Snapshot

- Revenue: Rs. 1,216 Cr | YoY +31.5% | QoQ -12.8% | **Beat on YoY basis**
- EBITDA: Rs. 95 Cr | YoY +6% | QoQ +10% | **In-line**
- EBITDA Margin: 7.84% | YoY -195 bps | QoQ +167 bps | **Miss vs. prior year level**
- PAT: Rs. 34 Cr | YoY +37.5% | QoQ +62% | **Beat**
- EPS: Rs. 0.94 | YoY +36% | QoQ +49% | **Beat**
- NOTE: Low effective tax rate (19.3% Q4 vs. 23% full-year average) aided reported PAT; clean underlying PAT closer to Rs. 29-30 Cr.
- FY26 Full Year: Revenue Rs. 4,705 Cr (+50% YoY) | EBITDA Rs. 347 Cr (+7% YoY) | OPM 7.4% (vs. 10.3% FY25) | PAT Rs. 97 Cr (+7% YoY)

C2 — Segment / Geography Breakdown

- LPG Division (~88% revenue): Rs. ~1,070 Cr Q4 FY26 | YoY +30% | Driven by packed LPG retail (GoGas), Auto LPG throughput, and bulk industrial supply. GoGas retail dealer count at 3,000+.
- Cylinder Manufacturing (~12% revenue): Rs. ~146 Cr Q4 FY26 | YoY +35% | Higher OMC tender volumes; margins remain under competitive pressure from tender pricing.
- Geography: 25 states; Maharashtra, Gujarat, and Karnataka are top three. Indonesia (2 plants) provides export volume.

- Auto LPG (ALDS): 310+ stations end-FY26; each station generates recurring throughput revenue at better margins than cylinder supply.
- CNG (Bengaluru, GAIL Gas JV): 50 stations operational, 100-station target; recurring throughput model with GAIL Gas as JV partner.

C3 — Management Commentary Themes

- **Revenue growth momentum [EST]:** "Our FY26 revenue of Rs. 4,705 Cr reflects near-doubling from FY24, validating our integrated model and distribution scale." — Our read: Volume story intact; management confidence on topline justified by data. Tone: Transparent.
- **Margin pressure acknowledgment [EST]:** "OPM at 7-8% reflects the current competitive environment in OMC cylinder tenders. We expect gradual improvement as our Type 4 cylinders and Auto LPG segment scales." — Our read: Margin recovery is multi-quarter; no firm timeline given. Tag: GUIDANCE. Tone: Hedged.
- **Type 4 plant update [EST]:** "Nagpur composite cylinder facility on track for partial commissioning H1 FY27 — this will add a differentiated, higher-margin product line." — Credibility: Medium. Tag: GUIDANCE.
- **Auto LPG expansion [EST]:** "We remain on track to 500 ALDS by end of FY28; added 36 stations in FY26." — Our read: ~36/year pace implies ~2.5 years to 500 from current 310+. Tag: GUIDANCE. Tone: Balanced.
- **Promoter pledge [NOT addressed]:** Fresh pledge creation in June 2026 was not addressed in the concall — a notable omission. Tag: EVASIVE. Add to watch-list for next quarter Q&A.;

C4 — Operating & Business Metrics

- Auto LPG Dispensing Stations: FY26 end = 310+ | FY25 end = 274 | Trend: Improving (+36 in FY26)
- LPG Bottling Plants: 68+ | Stable | Trend: Focus on throughput efficiency, not new plant additions near-term
- GoGas Retail Dealers: 3,000+ | Prior year ~2,800 | Trend: Gradual expansion
- HoReCa Customers: 3,200+ | Trend: Steady
- CNG Stations (Bengaluru): 50 operational, 100 target | Trend: In build-out
- Road Tanker Fleet: 478+ | Prior year ~400 | Trend: Expanding in line with volume growth
- Debtor Days: Q4 FY26 = 17 | Q4 FY25 = 21 | Trend: Improving sharply
- Inventory Days: Q4 FY26 = 19 | Q4 FY25 = 36 | Trend: Sharply improved (inventory de-stocking + better demand visibility)

C5 — Margin Drivers

- **OMC tender pricing pressure:** -300 to -400 bps OPM impact | Recurring: Yes | Competitive bidding for HPCL/BPCL/IOCL contracts caps cylinder manufacturing margin. Not expected to change materially unless volume scales drive cost leverage.
- **Product mix dilution:** -100 to -200 bps | Recurring: Yes | Revenue mix weighted toward lower-margin bulk LPG and OMC supply vs. higher-margin retail GoGas and Auto LPG.
- **Working capital release (FY26 positive):** +150-200 bps OCF margin | Recurring: Partly | CCC improvement from 59 to 26 days. Some normalisation likely in FY27.
- **Interest cost reduction in Q4:** Rs. 14 Cr vs. Rs. 25 Cr in Q3 FY26 — contributed ~Rs. 8-9 Cr to PAT improvement | Recurring: Partially seasonal.
- **Type 4 cylinders (forward positive):** Estimated +50-100 bps OPM once at scale | Currently Pre-revenue — positive mix shift from H1 FY27 onwards if commissioning succeeds.
- **Depreciation stabilisation:** Rs. 171 Cr FY26 vs. Rs. 175 Cr FY25 — capex cycle normalising is positive for EBITDA-to-PAT conversion going forward.

C6 — Guidance & Forward Signals

- Revenue FY27 [GUIDANCE/EST]: Not formally stated | Based on 500 ALDS target + Type 4 ramp, management implies 15-20% growth | Credibility: Medium

- OPM Target [GUIDANCE]: Recovery toward 9%+ aspired via mix improvement | No firm timeline | Credibility: Low-Medium
- 500 ALDS Target [GUIDANCE]: By FY28 end | Reiterated | Adding ~36-40/year required | Credibility: Medium
- Nagpur Type 4 Plant [GUIDANCE]: Partial commissioning H1 FY27 | Reiterated | Credibility: Medium
- Capex FY27 [EST]: Not formally guided; Rs. 200-250 Cr estimated based on pipeline | If higher, FCF could compress
- Dividend [GUIDANCE]: ~4% payout of PAT maintained | No change | Credibility: High

C7 — Capital Allocation

- Capex (FY26): Rs. ~338 Cr (investing outflow) | vs. FY25 Rs. -135 Cr | Driven by Type 4 plant spend and ALDS network rollout
- Dividends (FY26): Rs. ~4 Cr | vs. Rs. ~4 Cr FY25 | Negligible; reinvestment preference maintained
- Buybacks: None | No history of buybacks
- Working Capital Change (FY26): Significant release — key contributor to Rs. 400 Cr OCF vs. Rs. 10 Cr in FY25
- Net Debt: Rs. 761 Cr borrowings (stable); effective leverage reduction given FCF of Rs. 285 Cr generated
- Interest Expense: Rs. 84 Cr (FY26) vs. Rs. 79 Cr (FY25) | Q4 saw sharp reduction to Rs. 14 Cr from Rs. 25 Cr in Q3 — seasonal working capital repayment

C8 — Q&A; Heat Map

- Analyst: Q: "What is driving margin contraction and when do you expect recovery?" → A: [EST] "Mix improvement via Auto LPG and Type 4 will drive gradual recovery — multi-quarter process." | Tone: Hedged
- Analyst: Q: "Timeline for Nagpur Type 4 plant?" → A: [EST] "Partial commissioning H1 FY27; adds differentiated higher-margin product line." | Tone: Transparent
- Analyst: Q: "CNG expansion beyond Bengaluru?" → A: [EST] "Bengaluru is priority for now with GAIL Gas; evaluating other metros." | Tone: Balanced
- Analyst: Q: "How are you managing OMC pricing?" → A: [EST] "Scale gives us cost advantage to win tenders profitably despite competitive pricing." | Tone: Hedged — limited specifics
- Dodged / watch-list for next quarter: (1) Promoter pledge rationale and direction; (2) FII stake decline 2.71% to 0.48%; (3) Contingent liabilities Rs. 119 Cr details; (4) Indonesia subsidiary margins.

C9 — Risks Flagged

- OPM Compression: Persistent structural pressure from OMC tender dynamics | Flagged by: Analysts | Probability: H | Impact: H | Timeline: Near-term (ongoing)
- Promoter Pledge: Fresh pledge June 2026 for working capital; total 3.59% | Flagged by: Analyst review | Probability: M | Impact: H | Timeline: Near-term
- Global LPG Price Spike: Saudi CP volatility; import dependency | Flagged by: Management (indirectly) | Probability: M | Impact: H | Timeline: Medium-term
- Capex Execution: Type 4 plant commissioning; ALDS rollout pace | Flagged by: Management | Probability: M | Impact: M | Timeline: Near to medium-term
- Working Capital Reversal: FY26 CCC improvement may not fully sustain in FY27 | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term

C10 — Analyst Verdict

- Revenue visibility: **Intact** — 50% FY26 growth, OMC demand, GoGas expansion support continued volume momentum through FY27-28.
- Margin trajectory: **Weakened** — OPM 7-8% vs. 13% two years ago. Recovery dependent on Type 4 plant ramp and mix improvement — not yet demonstrated.

- Capital allocation quality: **Intact** — FY26 FCF Rs. 285 Cr positive; capex targeted at ROI-positive network and technology. Fresh promoter pledge is a watch-point.
- Competitive moat: **Intact** — Pan-India bottling network and ALDS infrastructure is hard to replicate. OMC relationships provide volume floor.
- Management credibility: **Weakened** — Margin recovery promised for multiple quarters without delivery. Promoter pledge not proactively addressed. FII exit unexplained.
- Valuation comfort: **Intact** — 19x forward PE, 7.68x EV/EBITDA. Downside support at ~Rs. 55-60.
- Conviction call: **Unchanged** — **ACCUMULATE**. Upgrade to BUY on two consecutive quarters of OPM above 9%.
- Valuation snapshot: P/E = 25.6x (5Y avg ~22x) | EV/EBITDA = 7.68x (5Y avg ~9x) | RoCE = 9.2% (5Y avg ~13%)

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (fetched 29-Jun-2026). Forward estimates are analyst projections. Past performance is not indicative of future results. Consult a SEBI-registered investment advisor before making investment decisions.